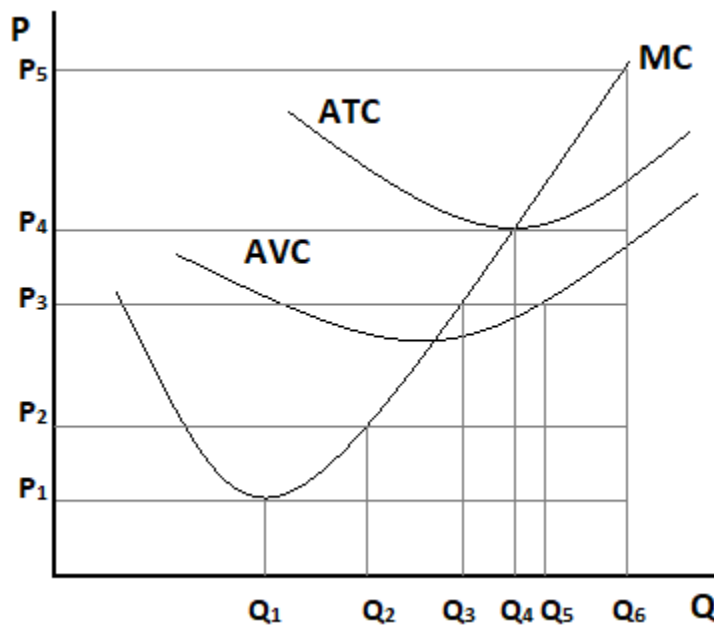


ECO101: Principles of Microeconomics

Perfect Competition

Homework

1. List the assumptions behind the traditional model of perfectly competitive markets.
2. Explain why firms in perfect competition are considered *price takers*.
3. Describe the factors that drive profits to zero in perfectly competitive markets in the long run.
4. Why would a firm choose to operate at a loss in the short run? Explain carefully
5. The graph below shows the cost curves for a producer in a perfectly competitive market.



- a) If the market price is **P3**, what quantity level will the firm produce? Will the firm be making a profit or loss?
- b) Should the producer keep producing or shut down?
- c) If the market price is **P2**, what quantity level will the firm produce? Will the firm be making a profit or loss?
- d) Should the producer keep producing or shut down?